Deutsche Bank
Research

Rating
Buy

Japan
Japan

Machinery

Company
Yaskawa Electric

Reuters
6506.T

Bloomberg
6506 JP

Date
16 October 2026

Rating	Buy
Price target (JPY)	6,000
Price at 15 Oct 26	4,274
52-week range	7,655 – 3,746

Valuation & Risks

Better 2H setup driven by sustaining order strength and improved delivery; Reiterate Buy

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Yaskawa reported 2Q FY2/27 (3M ending August 2026) results and hosted analyst briefings after market close on both the 9th and the 13th of October.

The record order intake in FY2Q underpins the strength of the semiconductor market. Whilst YoY order growth may have peaked at +38% in FY2Q, any subsequent moderation is likely to be mild, with management implying +34% order growth for FY3QE. Our US Semicap analysts forecast sustained +41% growth in 2027E, following +40% growth in 2026E for the global WFE market. Coupled with improving production and a low base, we expect significantly stronger growth for both revenue and operating profit, at +18% and +58% YoY respectively in 2H, compared to +10% and -6% in 1H.

The current setup is highly reminiscent of 2021, when the pandemic similarly led to strong order intake and production bottlenecks. During that cycle, Yaskawa's share price corrected by ~30% from its peak amid decelerating YoY order growth. The correction in this current cycle has been more pronounced, with Yaskawa's share price already declining by ~40% from its peak. We believe this presents an attractive entry point, especially considering that robust semiconductor orders are likely to remain stronger for longer. We reiterate our Buy rating and lower our target price to ¥6,000.

Key highlights from FY2Q results: Strong orders and improving production point to a better 2H; FY guidance cut due to production loss in 1H

Positive (+) : Historic high order intake, with growth accelerating despite a higher baseline

FY2Q orders grew by **+13% QoQ**, with **YoY growth accelerating to +38% (+31% ex-FX)** from 29% (21% ex-FX) in FY1Q, despite a high base – for comparison, order growth was -6% YoY in FY1Q and +6% in FY2Q of the prior year. Orders reached **a record high of ¥185.4bn**, which is 11% higher than the previous peak in CY1H22, when the market was experiencing robust demand coupled with supply shortages.

By division, **Servo orders** registered the strongest growth, rising by **+76% YoY** in FY2Q due to robust semiconductor demand, particularly in Other Asia (+195%),

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followed by the Americas (+170%) and Japan (+41%). **Drives orders** rose by **+38% YoY**, with growth driven by AIDC and US O&G demand. **Robot orders** rose by **+33% YoY**, supported by semiconductor robots and general industrial demand.

Positive (+): Orders projected to remain strong, with only minor growth deceleration expected in FY3QE

Management expects order momentum to remain robust for longer, guiding for **order intake to sustain its FY2Q level into FY2H**. This implies that **YoY growth will show only a minor deceleration to +34% in FY3QE, down from 38% in FY2Q**, despite facing a 9ppt point higher base. It also points to healthy, albeit slower, FY4QE order growth of +22% YoY. Management acknowledges **some advanced orders** with deliveries scheduled for early 2027, but none beyond that timeline.

Positive (+): Significantly stronger 2H growth supported by higher production volumes

Yaskawa aims **to resolve its ERP system disruptions by the end of FY3Q (i.e. November)**, which should further boost delivery volumes. Consequently, FY4Q production is projected to track orders closely, recovering from FY2Q when sales fell 20% below orders due to production constraints. Combined with the low profit base in 2H of the prior year, **we expect growth for both revenue and operating profit to accelerate significantly to +18% and +58% YoY respectively in 2H,** up from +10% and -6% in 1H.

Neutral (±) – FY2Q results broadly in line, as revenue and profits are still weighed down by the anticipated ERP system migration disruptions

In FY2Q, revenue grew modestly by +9% (+3% ex-FX) to ¥146.6bn, whilst operating profit rose by +6% YoY to ¥13.6bn, representing an OPM of 9.3%. Management estimates that the ongoing ERP system disruptions and resulting **production delays held back revenue by ¥10bn and operating profit by ¥1.5bn**. Adjusting for these factors, revenue would have reached ¥156.6bn (+16% YoY), with an operating profit of ¥15bn (+18% YoY), yielding an OPM of 9.6%.

Compared with Bloomberg consensus, FY2Q revenue and operating profit were broadly in line with expectations, whilst net profit exceeded estimates due to non-operating gains and a lower tax rate.

Negative (-) – FY2/27 operating profit guidance lowered, despite higher sales targets, due to ERP system disruptions

Yaskawa has **lowered its operating profit target by -4% to ¥58bn** from ¥60bn, despite raising its sales target by +3% to ¥600bn from ¥580bn. This operating profit target reduction is primarily a result of lower-than-expected production and shipments in 1H due to the ERP system disruptions. However, **we see upside risks to this revised guidance** and forecast full-year revenue and operating profit to come in at +3% and +4% above guidance, respectively.

ERP system migration and production update: A stronger 2H driven by expanded capacity and improved utilisation; lead times prolonged but stabilising

Aims to resolve ERP system migration disruptions by the end of FY3Q (i.e. November)

Yaskawa initiated an update to its ERP system in early May, encountering system issues that have since disrupted operations from procurement to production. Whilst management **initially expected to resolve these problems by August**, the disruptions have persisted longer than anticipated. Consequently, management **now aims to resolve the issues by the end of FY3Q (November)**. This ERP issue has resulted in production losses and under-utilised capacity. To compensate, Yaskawa drew down existing inventory for deliveries in FY2Q.

Capacity is already improving in FY3Q and should ramp up further in FY4Q

Production has shown steady improvement, with losses from delayed production narrowing to ¥1.5bn in FY2Q, down from ¥2.5bn in the prior quarter. Currently, **the Servo business is the primary segment still constrained by insufficient production:**

- **Servo: Targets 1.6x capacity in 2H compared to 1H**, with a more ambitious internal target of 1.8x. **In the final week of September, production had already reached the 1.6x level.**
- **Inverter:** ERP disruptions are no longer affecting production.
- **Robot:** Production is sufficient to meet demand for traditional robots. However, demand for **semiconductor robots** is exceptionally high; Yaskawa targets 2.7x production in 2H compared to 1H. Production had **already reached 2.0x as of the final week of September**, and the company will transition to a full two-shift system by the end of October to boost output further.

Overall, **the capacity utilisation rate has improved by +20%** compared to the FY2Q average for both the Servo and Robot segments (we recall the rate was 75% in FY1Q), whilst remaining flat for the Inverter division. Nonetheless, **current production remains 20% below the company's original plan**.

Management expects that following the full restoration of the ERP system by the end of November, **production in FY4Q should closely align with demand**.

Production bottlenecks are primarily concentrated in semiconductors, with potential labour constraints next year

Management confirms that Yaskawa **has secured the materials necessary for 2H production**, though tight supply chains could present challenges next year. **Rare earth** supplies also remain tight, but the company **has optimised its design technology to reduce rare earth consumption.**

The primary challenges currently stem from staffing and operational inefficiencies. Japan is experiencing the most severe labour shortage, whilst issues with work instructions have also contributed to production inefficiencies.

DB channel checks: Lead times remain prolonged but are stabilising

Our channel checks confirm **exceptionally strong demand for Servo products in the US**, where Yaskawa maintains a leading position in the semiconductor market owing to competitive pricing, robust technology, and a strong reputation.

In China, product availability from Yaskawa is generally stable, with the exception of semiconductor-related servos. For these components, **lead times remain elevated at 6M, though they have not extended further in recent months**.

Semiconductors: WFE forecasts suggest sustained growth strength in 2027E

We estimate that semiconductors now account for 15-25% of Yaskawa's group sales. The Servo business makes up ~25% of group sales, with semiconductors serving as a key growth driver. Meanwhile, semiconductor robots constitute 10-15% of the Robot business revenue (with the Robot division representing ~40% of total group revenue).

Our US semiconductor capital equipment (semicap) analysts raised their estimates for the global wafer fab equipment (WFE) market earlier this week on 12 October 2026 (link). They believe that the pessimism reflected in semicap share prices is somewhat premature, especially given that very little greenfield DRAM capacity has come online in 2026E. They have clear visibility on 8-10 major tier-1 fabs undergoing tool installation in 2027E, with further capacity expected in 2028E. Similarly, on the leading-edge foundry logic side, much of the capacity projected to come online remains in the construction phase.

They now forecast the WFE market at US$154bn in 2026E, US$217bn in 2027E, and US$270bn in 2028E, representing YoY growth rates of +40%, +41%, and +24%, respectively. This reflects elevated spending and the pulling forward of fab projects across DRAM and foundry customers over the past 90 days.

We calculate that **Yaskawa's Motion Control sales exhibit a high correlation with WFE and memory spend, at 84% and 85% respectively** (Figure 2Figure 2: Wafer fab equipment (WFE) spend growth to stay strong in 2027E without deceleration, after a robust 2026E and Figure 3). Therefore, we view the positive momentum in WFE as a significant driver for Yaskawa. Importantly, our channel checks suggest that semiconductor-related products carry **higher margins** for Yaskawa, meaning this positive momentum bodes well for both sales and profitability.

Tweak estimates; Reduce target price to ¥6,000

We **slightly adjust our FY2/27/ FY2/28/ FY2/29 operating profit estimates by -2%/ +0.5%/ -2%**. We forecast revenue of ¥617.5bn and operating profit of ¥60bn for FY2/27, which are +3% and +4% above company's guidance.

We **reduce our DCF-derived target price to ¥6,000 from ¥6,650** on more conservative margin assumptions and higher risk-free rate. Our target price is based on a 3-stage DCF valuation. For FY2026-28, we use our detailed forecasts. For FY2029-50, we use our medium-term assumptions. For years beyond, we use a terminal growth rate of 2%. We use a risk-free rate of 2.6% (from 2.5%; consistent with the latest long-term government bond rates), an equity risk premium of 4.5%, and a beta of 1.3 to derive our WACC of 8.0%.

Yaskawa is **trading on a FY2/27 and FY2/28 P/E of 23.8x and 20.5x**, respectively. **This is below Yaskawa's long-term average one-year forward P/E of close to 29x**. Our target price of ¥6,000 implies a FY2/27 and FY2/28 P/E of 32.4x and 27.9x, which is close to its long-term average level. We expect Yaskawa to rerate back to the long-term average considering the strength and the longevity of the semiconductor demand, and its improved delivery in the quarters to come.

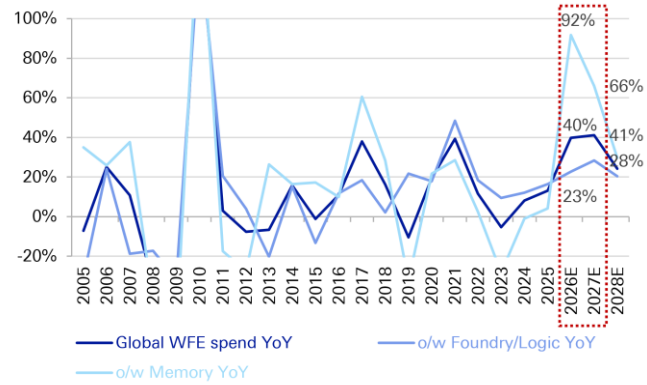
Downside risks are: 1) muted automation market growth; 2) a clear share loss for Yaskawa in China and overseas due to the rise of Chinese competitors; 3) JPY appreciation versus major currencies that could weigh on Yaskawa's margin; 4) disappointing progress around humanoid robots; 5) deteriorating geopolitics; and 6) continued production loss due to the ERP system migration.

Figure 1: 2Q FY2/27 sales and operating profit were broadly in-line with consensus

FY (in Yen'mn)	FY2/25	1Q FY2/26	2Q FY2/26	1H FY2/26	3Q FY2/26	4Q FY2/26	2H FY2/26	FY2/26	1Q FY2/27	2Q FY2/27			1H FY2/27	2H FY2/27E	FY2/27E
FY ending ...	*Feb-25*	*May-25*	*Aug-25*		*Nov-25*	*Feb-26*		*Feb-26*	*May-26*	Actual	Consensus	Act vs Cons		Implied from guidance	guidance
Motion control	216,700	55,400	58,200		67,900	78,900		260,400	82,100	91,100					
Motion control YoY	12%	-2%	5%		34%	47%		20%	48%	56%					
Robotics	230,600	61,400	58,300		58,200	50,800		228,700	69,700	77,600					
Robotics YoY	3%	-6%	7%		4%	-7%		-1%	14%	33%					
System Engineering	38,100	5,400	12,600		7,700	17,000		42,700	6,800	11,800					
System Engineering YoY	-34%	-27%	25%		-11%	40%		12%	26%	6%					
Other	23,200	5,300	4,900		4,700	5,700		20,600	5,200	4,900					
Orders	**508,600**	**127,500**	**134,000**		**138,500**	**152,400**		**552,400**	**163,800**	**185,400**					
Orders YoY	2%	-6%	6%		15%	20%		9%	29%	38%					
Motion control sales	238,752	55,659	57,178	112,837	58,016	65,200	123,216	236,053	67,635	69,651			137,286	153,014	290,300
MC sales YoY	-11.4%	-6.2%	-4.8%	-5.5%	-1.5%	7.9%	3.3%	-1.1%	21.5%	21.8%			21.7%	24.2%	23.0%
Robotics Sales	237,413	55,633	63,571	119,204	63,834	63,974	127,808	247,012	56,728	61,676			118,404	132,596	251,000
Robotics sales YoY	1.2%	-2.5%	15.5%	6.4%	9.2%	-4.4%	2.0%	4.0%	2.0%	-3.0%			-0.7%	3.7%	1.6%
System Engineering Sales	38,352	9,268	9,422	18,690	8,125	11,929	20,054	38,744	9,816	10,962			20,778	20,422	41,200
SE sales YoY	-16.8%	-11.6%	16.1%	0.5%	-11.6%	13.0%	1.5%	1.0%	5.9%	16.3%			11.2%	1.8%	6.3%
Other Sales	23,164	5,081	4,381	9,462	5,057	5,792	10,849	20,311	4,802	4,326			9,128	8,372	17,500
Other sales YoY	-9.1%	-7.8%	-26.3%	-17.4%	-9.8%	-5.2%	-7.4%	-12.3%	-5.5%	-1.3%			-3.5%	-22.8%	-13.8%
Consolidated revenue	**537,681**	**125,641**	**134,552**	**260,193**	**135,032**	**146,895**	**281,927**	**542,120**	**138,981**	**146,615**	**143,037**	**3%**	**285,596**	**314,404**	**600,000**
Revenue YoY	-6.6%	-5.1%	4.2%	-0.5%	2.2%	2.0%	2.1%	0.8%	10.6%	9.0%	6.3%		9.8%	11.5%	10.7%
Motion control OP	23,005	5,037	6,987	12,024	4,355	8,005	12,360	24,384	7,562	8,411			15,973	23,427	39,400
MC OPM	9.6%	9.0%	12.2%	10.7%	7.5%	12.3%	10.0%	10.3%	11.2%	12.1%			11.6%	15.3%	13.6%
Robotics OP	23,751	5,006	5,536	10,542	4,942	4,934	9,876	20,418	888	5,086			5,974	11,826	17,800
Robotics OPM	10.0%	9.0%	8.7%	8.8%	7.7%	7.7%	7.7%	8.3%	1.6%	8.2%			5.0%	8.9%	7.1%
System Engineering OP	4,605	1,028	911	1,939	791	2,259	3,050	4,989	1,921	1,559			3,480	2,120	5,600
SE OPM	12.0%	11.1%	9.7%	10.4%	9.7%	18.9%	15.2%	12.9%	19.6%	14.2%			16.7%	10.4%	13.6%
Other OP	1,591	382	553	935	456	597	1,053	1,988	193	382			575	925	1,500
Other OPM	6.9%	7.5%	12.6%	9.9%	9.0%	10.3%	9.7%	9.8%	4.0%	8.8%			6.3%	11.0%	8.6%
Consolidated operating profit	**50,157**	**10,504**	**12,831**	**23,335**	**9,862**	**14,112**	**23,974**	**47,309**	**8,486**	**13,573**	**13,312**	**2%**	**22,059**	**35,441**	**57,500**
Operating margin	9.3%	8.4%	9.5%	9.0%	7.3%	9.6%	8.5%	8.7%	6.1%	9.3%	9.3%		7.7%	11.3%	9.6%
Group OP YoY	-24.3%	-5.5%	8.7%	1.8%	-13.4%	-10.9%	-12.0%	-5.7%	-19.2%	5.8%	3.7%		-5.5%	47.8%	21.5%
Net Profit	**56,988**	**6,952**	**11,297**	**18,249**	**7,299**	**9,694**	**16,993**	**35,242**	**5,445**	**13,546**	**10,430**	**30%**	**18,991**	**28,509**	**47,500**
Net margin	10.6%	5.5%	8.4%	7.0%	5.4%	6.6%	6.0%	6.5%	3.9%	9.2%	7.3%		6.6%	9.1%	7.9%
Net Profit YoY	12.4%	-24.4%	30.6%	2.2%	-73.6%	-15.7%	-56.6%	-38.2%	-21.7%	19.9%	-7.7%		4.1%	50.4%	34.8%

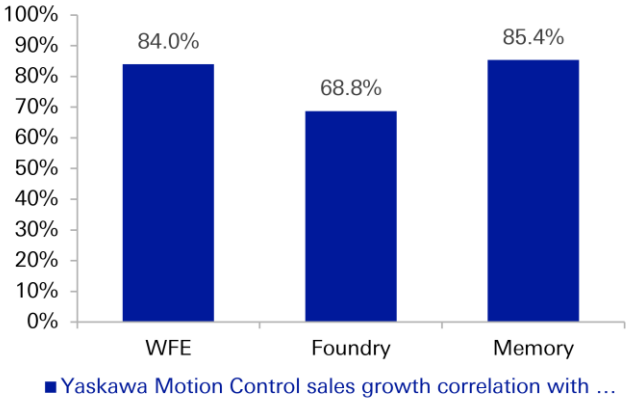
Source: Company data, Deutsche Bank, Bloomberg Finance LP

Figure 2: Wafer fab equipment (WFE) spend growth to stay strong in 2027E without deceleration, after a robust 2026E



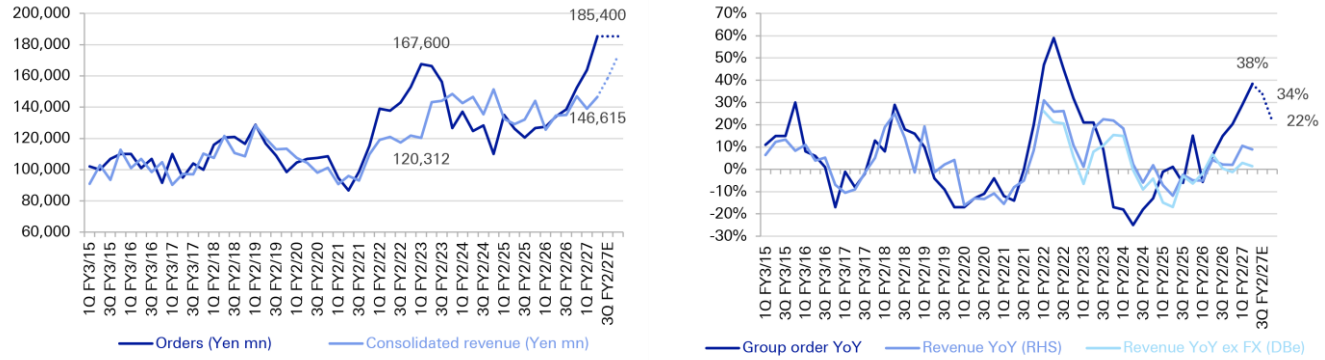
Source: Deutsche Bank estimates (from DB US Semicap: 3Q26 Preview: Semicap slump)

Figure 3: Yaskawa's Motion Control sales growth highly correlates with WFE spend; hence, the robust WFE expectation bodes well for Yaskawa's sales



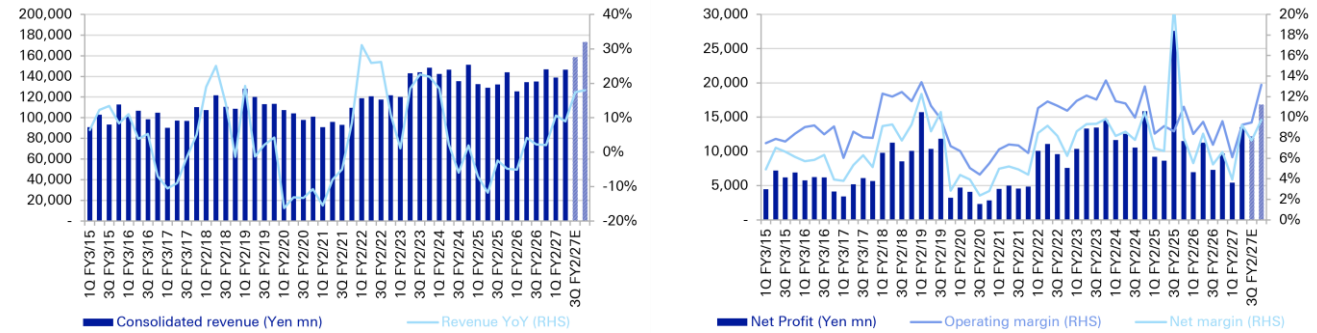
Source: Company data, Deutsche Bank

Figure 4: Order growth accelerated to +38% YoY, driving a high book-to-bill ratio of 1.3x in 2Q FY2/27; quarterly orders reached an all-time high; we forecast orders to remain robust in the coming quarters



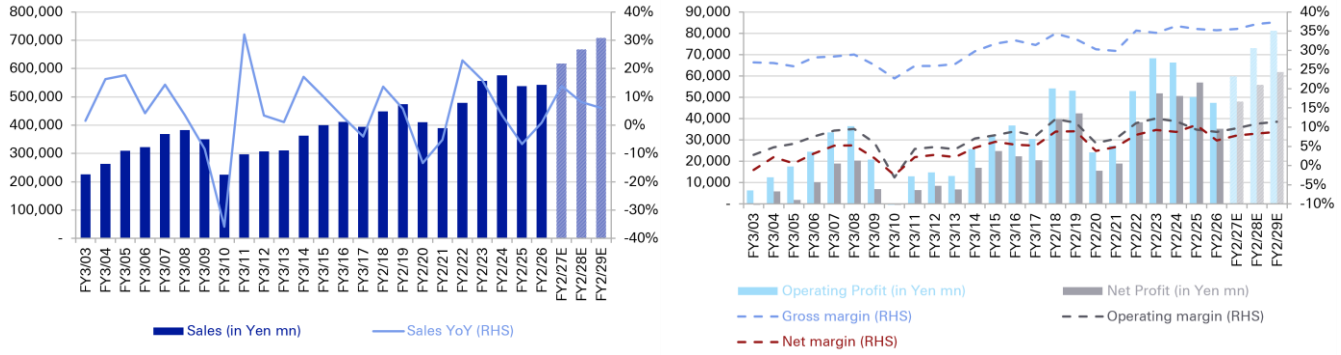
Source: Company data, Deutsche Bank estimates

Figure 5: Quarterly financials: Revenue grew +9% YoY in FY2Q, -20% below orders due to delivery bottlenecks; we forecast revenue growth to step up in 2H on improved production delivery



Source: Company data, Deutsche Bank

Figure 6: Yaskawa's annual financials: We forecast revenue and profit increase for Yaskawa in the coming years



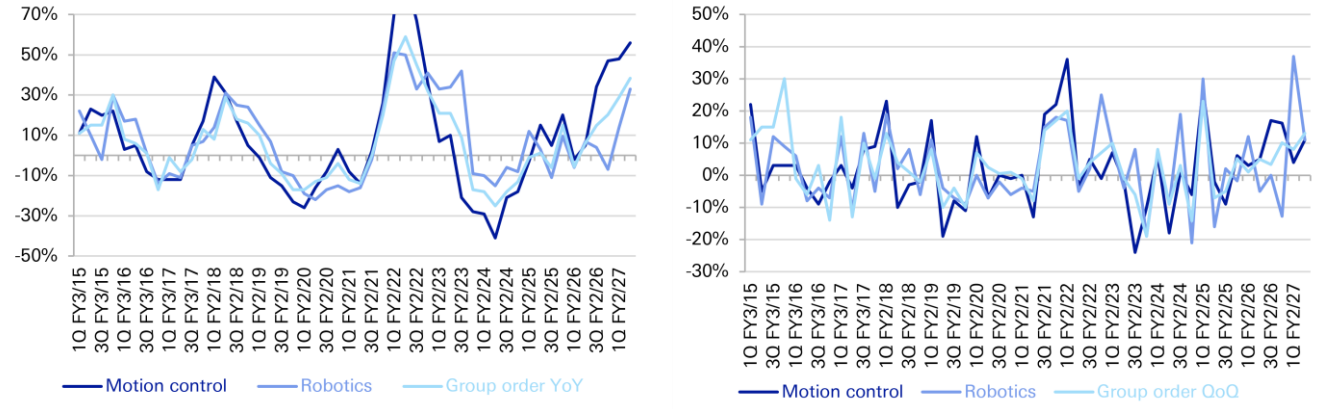
Source: Company data, Deutsche Bank

Figure 7: Estimate changes, consensus, and company guidance

FY CY ending... (in Yen mn)	FY2/26 *Feb-26* Actual	FY2/27E *Feb-27* DBe	Old DBe	*DBe Chg %*	BBG cons	*DBe vs BBG*	Co. Guidance	*DBe vs Co.*	FY2/28E *Feb-28* DBe	Old DBe	*DBe Chg %*	BBG cons	*DBe vs BBG*	FY2/29E *Feb-29* DBe	Old DBe	*DBe Chg %*	BBG cons	*DBe vs BBG*
Motion control sales	236,053	305,453	295,385				290,300	*5.2%*	341,378	330,831				363,568	352,335			
MC sales YoY	-1.1%	29.4%	25.1%				23.0%		11.8%	12.0%				6.5%	6.5%			
Robotics sales	247,012	253,224	243,183				251,000	*0.9%*	265,174	255,342				281,084	270,663			
Robotics sales YoY	4.0%	2.5%	-1.6%				1.6%		4.7%	5.0%				6.0%	6.0%			
System Engineering sales	38,744	41,255	40,805				41,200	*0.1%*	43,317	42,845				45,483	44,988			
SE sales YoY	1.0%	6.5%	5.3%				6.3%		5.0%	5.0%				5.0%	5.0%			
Other sales	20,311	17,569	20,920				17,500	*0.4%*	18,096	21,548				18,639	22,194			
Other sales YoY	-12.3%	-13.5%	3.0%				-13.8%		3.0%	3.0%				3.0%	3.0%			
Sales	**542,122**	**617,501**	**600,294**	*2.9%*	595,046	*3.8%*	**600,000**	*2.9%*	**667,966**	**650,567**	*2.7%*	646,149	*3.4%*	**708,775**	**690,180**	*2.7%*	671,017	*5.6%*
Sales YoY	0.8%	13.9%	10.7%		9.8%		10.7%		8.2%	8.4%		8.6%		6.1%	6.1%		3.8%	
o/w growth ex FX	-10.6%	9.2%	6.0%						8.4%	8.4%				6.1%	6.1%			
o/w FX	4.0%	4.7%	4.7%						-0.2%	0.0%				0.0%	0.0%			
Cost of Goods Sold	(350,885)	(397,670)	(376,314)						(421,914)	(401,216)				(444,037)	(419,664)			
Gross Profit	**191,237**	**219,830**	**223,980**						**246,052**	**249,351**				**264,737**	**270,516**			
Gross margin	35.3%	35.6%	37.3%						36.8%	38.3%				37.4%	39.2%			
Motion control OP	24,384	41,542	42,831				39,400	*5.4%*	51,207	51,279				56,353	58,135			
MC OPM	10.3%	13.6%	14.5%				13.6%		15.0%	15.5%				15.5%	16.5%			
Robotics OP	20,418	17,979	18,239				17,800	*1.0%*	20,949	21,704				23,611	25,713			
Robotics OPM	8.3%	7.1%	7.5%				7.1%		7.9%	8.5%				8.4%	9.5%			
System Engineering OP	4,989	5,569	4,081				5,600	*-0.5%*	6,064	4,499				6,595	4,949			
SE OPM	12.9%	13.5%	10.0%				13.6%		14.0%	10.5%				14.5%	11.0%			
Other OP	1,988	1,476	1,464				1,500	*-1.6%*	1,629	1,939				1,678	1,997			
Other OPM	9.8%	8.4%	0				8.6%		9.0%	9.0%				9.0%	9.0%			
Operating Profit	**47,309**	**59,909**	**60,952**	*-1.7%*	58,064	*3.2%*	**57,500**	*4.2%*	**73,061**	**72,670**	*0.5%*	75,794	*-3.6%*	**81,178**	**83,077**	*-2.3%*	82,734	*-1.9%*
Operating margin	8.7%	9.7%	10.2%		9.8%		9.6%		10.9%	11.2%		11.7%		11.5%	12.0%		12.3%	
Operating Profit YoY	-5.7%	26.6%	28.8%				21.5%		22.0%	19.2%		30.5%					9.2%	
Financial income & costs	1,489	1,936	1,537						1,742	1,584				1,794	1,631			
Equity method earnings	766	4,443	2,604						2,221	2,735				2,332	2,871			
Other non-operating gain (loss)	-	-	-						-	-				-	-			
Non-operating Gain (Loss)	2,255	6,379	4,142						3,964	4,318				4,127	4,502			
Recurring Profit	**49,564**	**66,288**	**65,094**						**77,025**	**76,988**				**85,305**	**87,579**			
Recurring margin	9.1%	10.7%	10.8%						11.5%	11.8%				12.0%	12.7%			
Extraordinary Gain (Loss)	-	-	-						-	-				-	-			
Pretax Profit	**49,564**	**66,288**	**65,094**	*1.8%*	74,000	*-10.4%*	**65,500**	*1.2%*	**77,025**	**76,988**	*0.0%*			**85,305**	**87,579**	*-2.6%*		
Taxes	(12,981)	(17,235)	(16,924)						(20,026)	(20,017)				(22,179)	(22,771)			
Tax rate	26.2%	26.0%	26.0%						26.0%	26.0%				26.0%	26.0%			
Minority ShrHld Profit or Loss	(1,341)	(981)	(963)						(1,140)	(1,139)				(1,263)	(1,296)			
% of PAT	3.7%	2.0%	2.0%						2.0%	2.0%				2.0%	2.0%			
Net Profit	**35,242**	**48,072**	**47,206**	*1.8%*	45,214	*6.3%*	**47,500**	*1.2%*	**55,859**	**55,832**	*0.0%*	57,815	*-3.4%*	**61,863**	**63,512**	*-2.6%*	62,485	*-1.0%*
Net margin	6.5%	7.8%	7.9%		7.6%		7.9%		8.4%	8.6%		8.9%		8.7%	9.2%		9.3%	
Net Profit YoY	-38.2%	36.4%	33.9%				34.8%		16.2%	18.3%				10.7%	13.8%			
Diluted EPS (in Yen)	**136**	**185**	**182**	*1.8%*	174	*6.3%*			**215**	**215**	*0.0%*	224	*-3.9%*	**238**	**245**	*-2.6%*	245	*-2.6%*
Shares outstanding ('000)	259,686	259,661	259,661						259,661	259,661				259,661	259,661			
DPS (in Yen)	**68**	**72**	**72**		73				**71**	**71**		83		**79**	**81**		**90**	
Payout ratio	50.1%	38.9%	39.6%		41.7%				33.0%	33.0%		37.0%		33.0%	33.0%		36.8%	

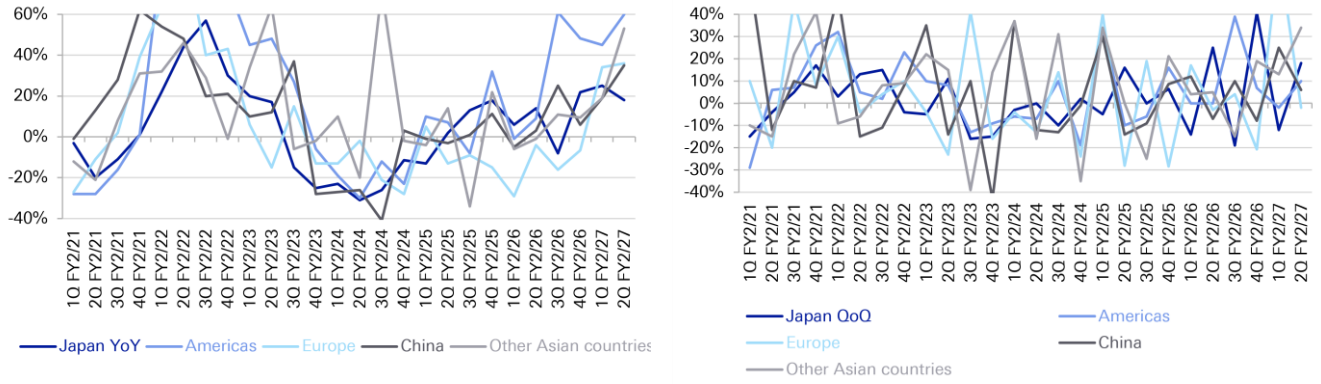
Source: Deutsche Bank estimates, company data, Bloomberg Finance LP

Figure 8: Order growth by segment YoY (LHS) and QoQ (RHS): Motion control maintained its robust momentum at +56% YoY in FY2Q, whilst Robotics was also robust at +33% YoY



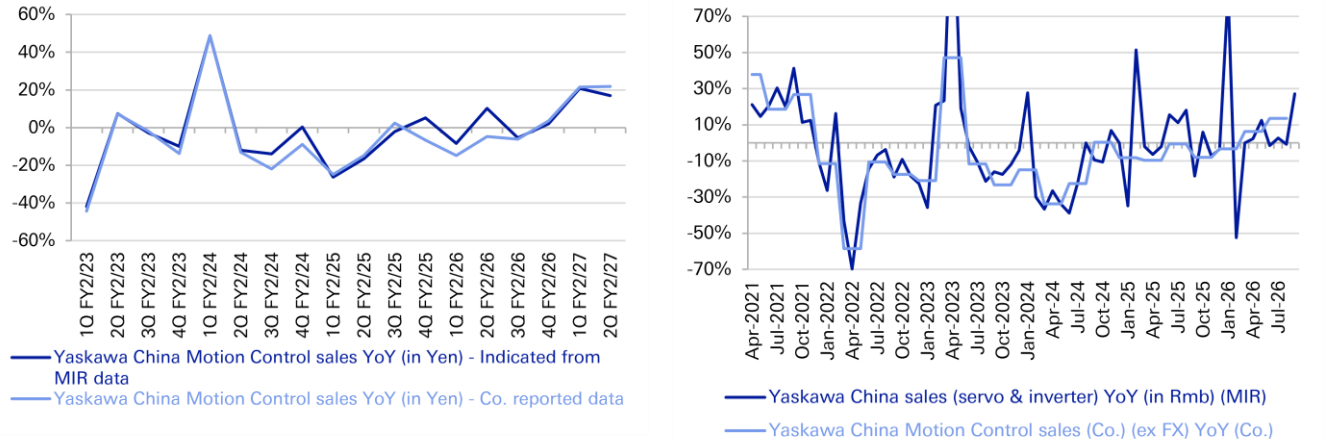
Source: Company data, Deutsche Bank

Figure 9: Order growth by region YoY (LHS) and QoQ (RHS): All regions delivered positive order growth in FY2Q, led by Americas (+60% YoY), other Asia (+53%), Europe (+36%) and China (+35%)



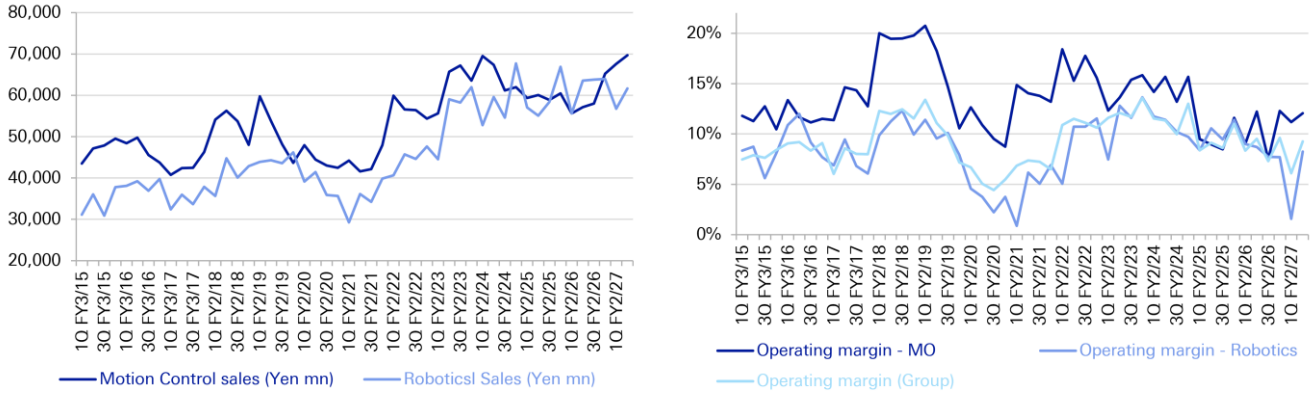
Source: Company data, Deutsche Bank

Figure 10: MIR data on Yaskawa's Motion Control sales in China shows a high correlation with Yaskawa's reported results



Source: MIR, company data, Deutsche bank

Figure 11: Yaskawa's quarterly financials by segment: Operating margin rebounded in FY2Q, as although ERP disruptions still weighed, the restructuring expense did not recur



Source: Company data, Deutsche Bank

Figure 12: Guidance history – Yaskawa slightly raised its full-year guidance for sales and net profit, but revised down its operating profit outlook

Group											
Forecast period	Time	Sales ('bn Yen)	vs last forecast	Operating profit ('bn Yen)	vs last forecast	Operating margin	Profit before tax ('bn Yen)	vs last forecast	PBT margin	Profit attributed to owners of parent ('bn Yen)	vs last forecast	NP margin
FY18	4Q FY17	510	-	66	-	12.8%	67	-	13.1%	50	-	9.8%
	1Q FY18	510	0%	66	0%	12.8%	67	0%	13.1%	50	0%	9.8%
	2Q FY18	498	-2%	59	-10%	11.8%	60	-10%	12.0%	47	-6%	9.4%
	3Q FY18	482	-3%	53	-10%	11.0%	54	-9%	11.3%	46	-3%	9.4%
	Actual result	475	-2%	50	-6%	10.5%	51	-7%	10.7%	41	-9%	8.7%
FY19	4Q FY18	465	-	47	-	10.0%	48	-	10.3%	35	-	7.5%
	1Q FY19	465	0%	47	0%	10.0%	48	0%	10.3%	35	0%	7.5%
	2Q FY19	420	-10%	25	-46%	6.0%	26	-46%	6.2%	19	-46%	4.5%
	3Q FY19	420	0%	25	0%	6.0%	26	0%	6.2%	19	0%	4.5%
	Actual result	411	-2%	22	-11%	5.4%	23	-10%	5.7%	14	-24%	3.5%
FY20	4Q FY19	n.a.	-	n.a.	-	n.a.	n.a.	-	n.a.	n.a.	-	n.a.
	1Q FY20	n.a.	-	n.a.	-	n.a.	n.a.	-	n.a.	n.a.	-	n.a.
	2Q FY20	367	-	22	-	6.1%	23	-	6.1%	16	-	4.2%
	3Q FY20	381	4%	27	22%	7.1%	26	17%	6.9%	18	17%	4.8%
	Actual result	430	13%	42	54%	9.8%	43	64%	10.1%	32	75%	7.4%
FY21	4Q FY20	430	-	42	-	9.8%	43	-	10.1%	32	-	7.4%
	1Q FY21	460	7%	54	29%	11.7%	56	28%	12.1%	41	29%	8.9%
	2Q FY21	485	5%	58	7%	12.0%	60	7%	12.3%	43	4%	8.8%
	3Q FY21	485	0%	58	0%	12.0%	60	0%	12.3%	43	0%	8.8%
	Actual result	479	-1%	53	-9%	11.0%	55	-7%	11.6%	38	-10%	8.0%
FY22	4Q FY21	525	-	72	-	13.7%	74	-	14.1%	53	-	10.0%
	1Q FY22	525	0%	72	0%	13.7%	74	0%	14.1%	53	0%	10.0%
	2Q FY22	550	5%	70	-3%	12.7%	72	-3%	13.1%	52	-2%	9.4%
	3Q FY22	550	0%	70	0%	12.7%	72	0%	13.1%	52	0%	9.4%
	Actual result	556	1%	68	-2%	12.3%	71	-1%	12.8%	52	1%	9.3%
FY23	4Q FY22	580	-	70	-	12.1%	73	-	12.5%	51	-	8.8%
	1Q FY23	580	0%	70	0%	12.1%	73	0%	12.5%	51	0%	8.8%
	2Q FY23	580	0%	70	0%	12.1%	73	0%	12.5%	51	0%	8.8%
	3Q FY23	580	0%	70	0%	12.1%	73	0%	12.5%	51	0%	8.8%
	Actual result	576	-1%	66	-5%	11.5%	69	-5%	12.0%	51	-1%	8.8%
FY24	4Q FY23	580	-	70	-	12.1%	74	-	12.8%	54	-	9.3%
	1Q FY24	580	0%	70	0%	12.1%	74	0%	12.8%	54	0%	9.3%
	2Q FY24	553	-5%	64	-9%	11.6%	90	21%	16.2%	64	19%	11.6%
	3Q FY24	548	-1%	58	-9%	10.6%	88	-3%	16.0%	63	-2%	11.5%
	Actual result	538	-2%	50	-13%	9.3%	79	-10%	14.6%	57	-10%	10.6%
FY25	4Q FY24	550	-	60	-	10.9%	63	-	11.5%	47	-	8.5%
	1Q FY25	515	-6%	43	-28%	8.3%	46	-28%	8.8%	33	-29%	6.4%
	2Q FY25	525	2%	48	12%	9.1%	51	11%	9.6%	37	12%	7.0%
	3Q FY25	525	0%	48	0%	9.1%	51	0%	9.6%	37	0%	7.0%
	Actual result	542	3%	47	-1%	8.7%	50	-2%	9.1%	35	-5%	6.5%
FY26E	4Q FY25	580	-	60	-	10.3%	65	-	11.2%	47	-	8.1%
	1Q FY26	580	0%	60	0%	10.3%	65	0%	11.2%	47	0%	8.1%
	2Q FY26	600	3%	58	-4%	9.6%	66	1%	10.9%	48	1%	7.9%

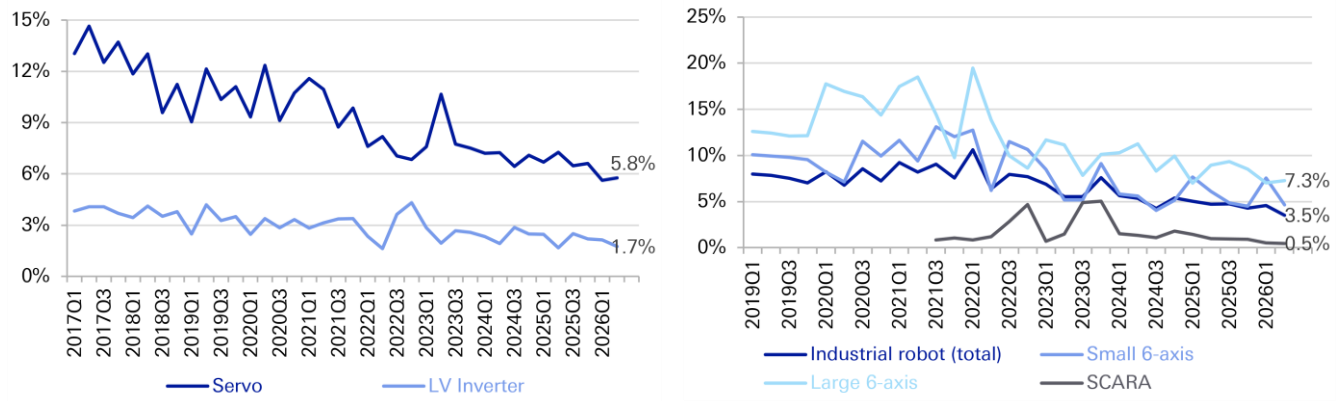
Source: Company data, Deutsche Bank

Figure 13: Share buyback history of Yaskawa

		Shares repurchased	Amount repurchased (bn yen)	Average repurchase price	shares as % of outstanding shares
Announcement	Oct-24 to Nov-24	2,500,000	12.5	5,000	1.0%
Tranche	Oct-24	2,001,400	10.0	5,000	0.8%
Result	Oct-24	2,001,400	10.0	5,000	0.8%
Announcement	Apr-19 to Jun-19	2,000,000	9.0	4,500	0.8%
Tranche	May-19	2,000,000	7.7	3,870	0.8%
Result	May-19	2,000,000	7.7	3,870	0.8%
Announcement	Apr-18 to May-18	2,000,000	12.0	6,000	0.8%
Tranche	Apr-18	2,000,000	9.4	4,695	0.8%
Result	Apr-18	2,000,000	9.4	4,695	0.8%

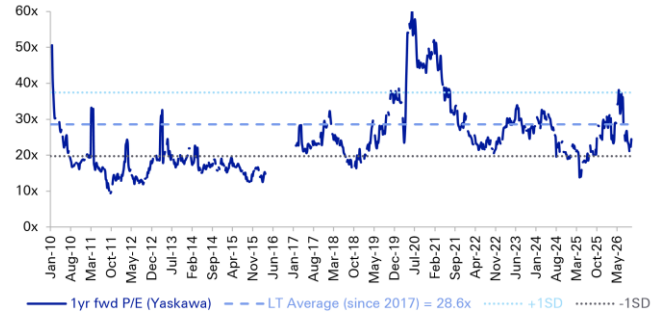
Source: Company data, Deutsche Bank

Figure 14: Yaskawa's market share in China



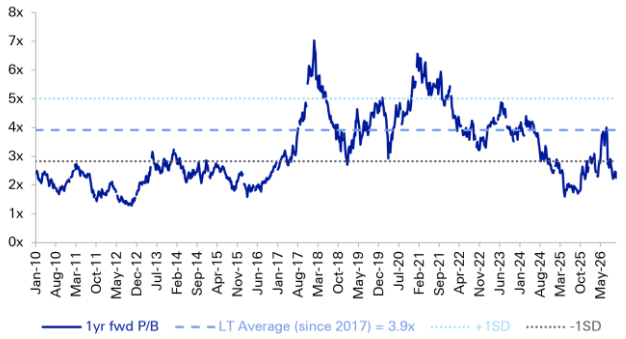
Source: MIR, Deutsche Bank

Figure 15: 1 yr forward P/E for Yaskawa



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 16: 1 yr forward P/B for Yaskawa



Source: Bloomberg Finance LP, Deutsche Bank Research

Assessment of Yaskawa's performance in past automation cycles

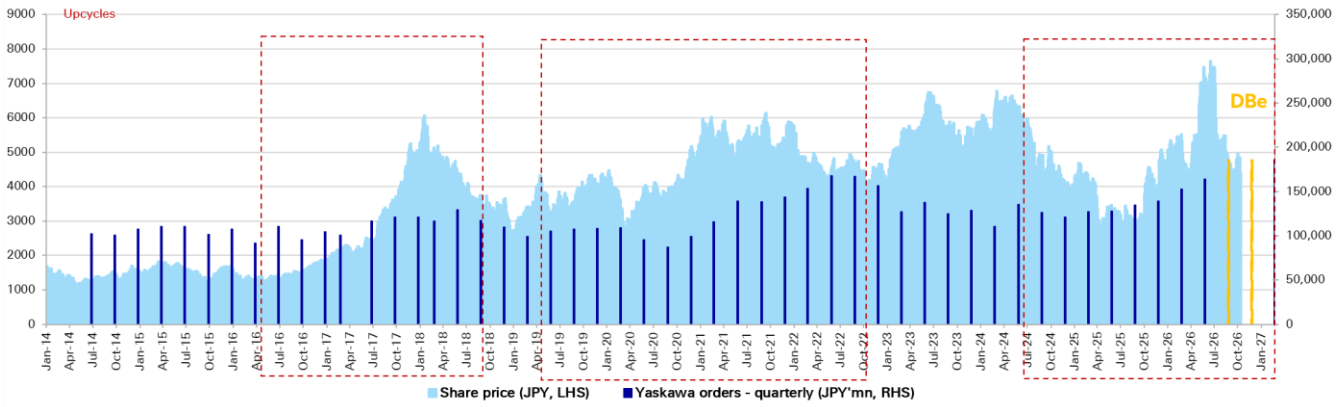
(1) Yaskawa share price vs Yaskawa order intake

Figure 17: Yaskawa's share price and change highly correlates with its order value and order YoY growth

Relationship (Yaskawa) (since 2014)	Stock lead	Correlation
Quarterly orders (in JPY)		
Quarterly orders vs share price	Same Quarter	0.59
Quarterly orders vs share price	1Q Lead	0.63
Quarterly orders vs share price	2Q Lead	0.54
Quarterly orders vs share price	3Q Lead	0.44
Quarterly orders vs 3M share price return	Same Quarter	-0.10
Quarterly orders vs 3M share price return	1Q Lead	0.10
Quarterly orders vs 3M share price return	2Q Lead	0.18
Quarterly orders vs 3M share price return	3Q Lead	0.02
Quarterly orders YoY		
Quarterly orders YoY vs share price	Same Quarter	0.14
Quarterly orders YoY vs share price	1Q Lead	0.15
Quarterly orders YoY vs share price	2Q Lead	0.07
Quarterly orders YoY vs share price	3Q Lead	-0.03
Quarterly orders YoY vs 3M share price return	Same Quarter	0.10
Quarterly orders YoY vs 3M share price return	1Q Lead	0.20
Quarterly orders YoY vs 3M share price return	2Q Lead	0.34
Quarterly orders YoY vs 3M share price return	3Q Lead	0.22

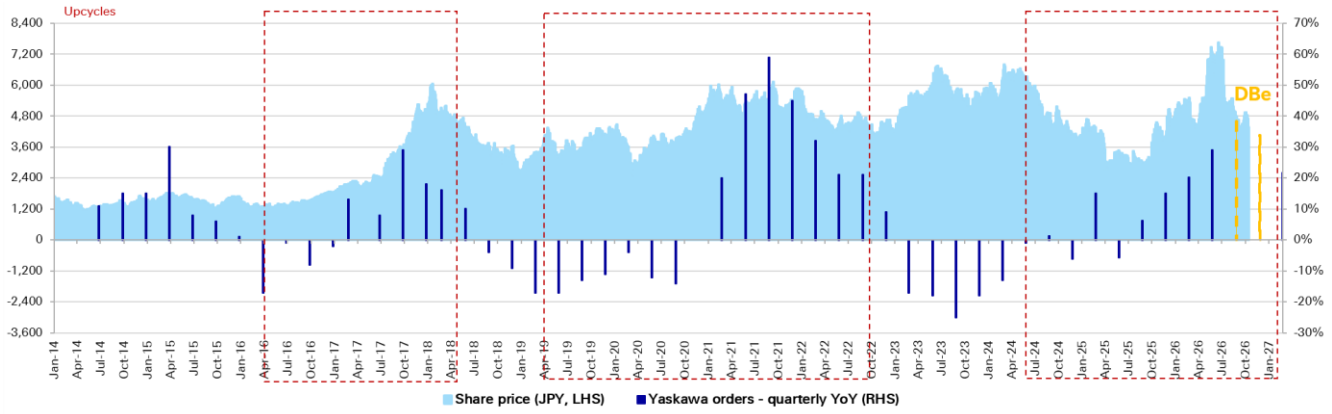
Source: Deutsche Bank Research, company data

Figure 18: In the past upcycles, the share price of Yaskawa broadly trends with the order value



Source: Deutsche Bank Research, company data

Figure 19: We forecast YoY order growth to remain strong in the coming quarters, which bodes well for Yaskawa's share price, in our view



Source: Deutsche Bank Research, company data

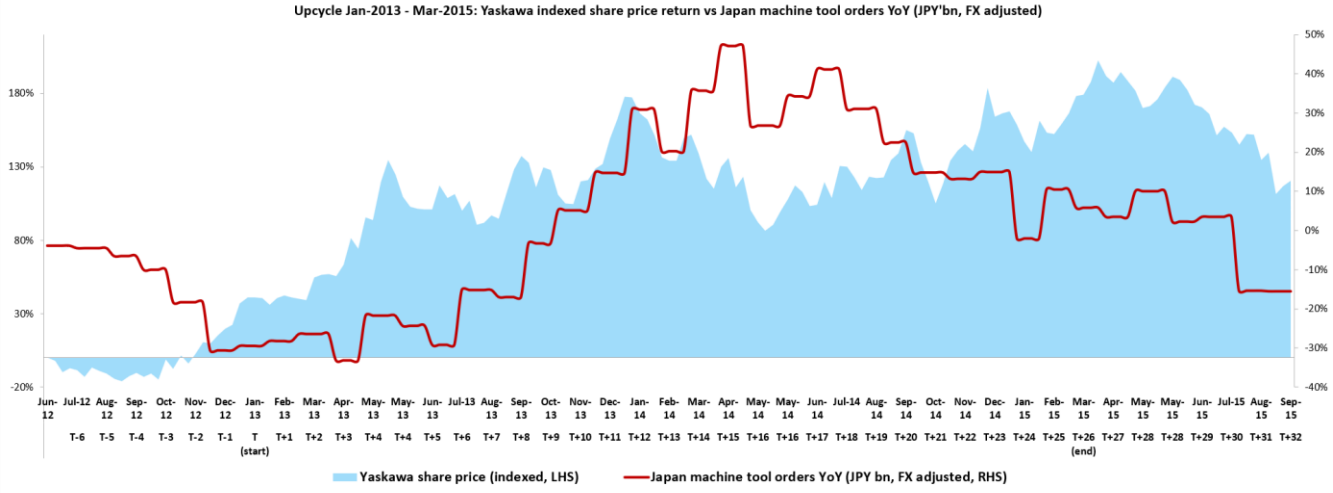
(2) Yaskawa share price vs Japan machine tool orders

Figure 20: Yaskawa's share price and price change correlates well with order value and YoY growth of Japan machine tool orders

Japan machine tool order metric (since 2015)	Stock lead	FANUC	THK	Harmonic Drive	Yaskawa	SMC
Reported values in JPY						
Japan machine tool orders value vs stock price	Same month	0.61	0.61	0.06	0.31	0.22
Japan machine tool orders value vs stock price	1 month	0.67	0.65	0.10	0.33	0.25
Japan machine tool orders value vs stock price	3 months	0.66	0.64	0.11	0.32	0.25
Japan machine tool orders YoY vs stock price	Same month	0.58	0.45	0.38	0.32	0.27
Japan machine tool orders YoY vs stock price	1 month	0.61	0.48	0.44	0.33	0.28
Japan machine tool orders YoY vs stock price	3 months	0.59	0.48	0.50	0.31	0.27
Japan machine tool orders YoY vs 1M stock return	Same month	-0.02	-0.03	-0.07	-0.01	-0.02
Japan machine tool orders YoY vs 1M stock return	1 month	0.04	0.03	-0.04	0.04	0.02
Japan machine tool orders YoY vs 1M stock return	3 months	0.14	0.12	0.05	0.17	0.06
Japan machine tool orders 3MMA YoY vs 3M stock return	Same month	0.02	0.00	-0.06	0.06	0.00
Japan machine tool orders 3MMA YoY vs 3M stock return	3 months	0.20	0.21	0.03	0.25	0.12
Japan machine tool orders 3MMA YoY vs 3M stock return	6 months	0.34	0.29	0.10	0.34	0.17
FX adjusted values						
FX-adjusted Japan machine tool orders value vs stock price	Same month	0.46	0.40	0.12	0.17	0.01
FX-adjusted Japan machine tool orders value vs stock price	1 month	0.54	0.46	0.17	0.19	0.03
FX-adjusted Japan machine tool orders value vs stock price	3 months	0.56	0.47	0.21	0.17	0.02
FX-adjusted Japan machine tool orders YoY vs stock price	Same month	0.52	0.40	0.36	0.23	0.18
FX-adjusted Japan machine tool orders YoY vs stock price	1 month	0.55	0.42	0.41	0.24	0.19
FX-adjusted Japan machine tool orders YoY vs stock price	3 months	0.55	0.43	0.48	0.22	0.18
FX-adjusted Japan machine tool orders YoY vs 1M stock return	Same month	-0.05	-0.03	-0.09	-0.02	-0.03
FX-adjusted Japan machine tool orders YoY vs 1M stock return	1 month	0.02	0.01	-0.05	0.02	0.01
FX-adjusted Japan machine tool orders YoY vs 1M stock return	3 months	0.12	0.10	0.04	0.15	0.05
FX-adjusted Japan machine tool orders 3MMA YoY vs 3M stock return	Same month	-0.02	-0.01	-0.09	0.04	-0.03
FX-adjusted Japan machine tool orders 3MMA YoY vs 3M stock return	3 months	0.18	0.18	0.02	0.23	0.08
FX-adjusted Japan machine tool orders 3MMA YoY vs 3M stock return	6 months	0.32	0.28	0.10	0.32	0.13

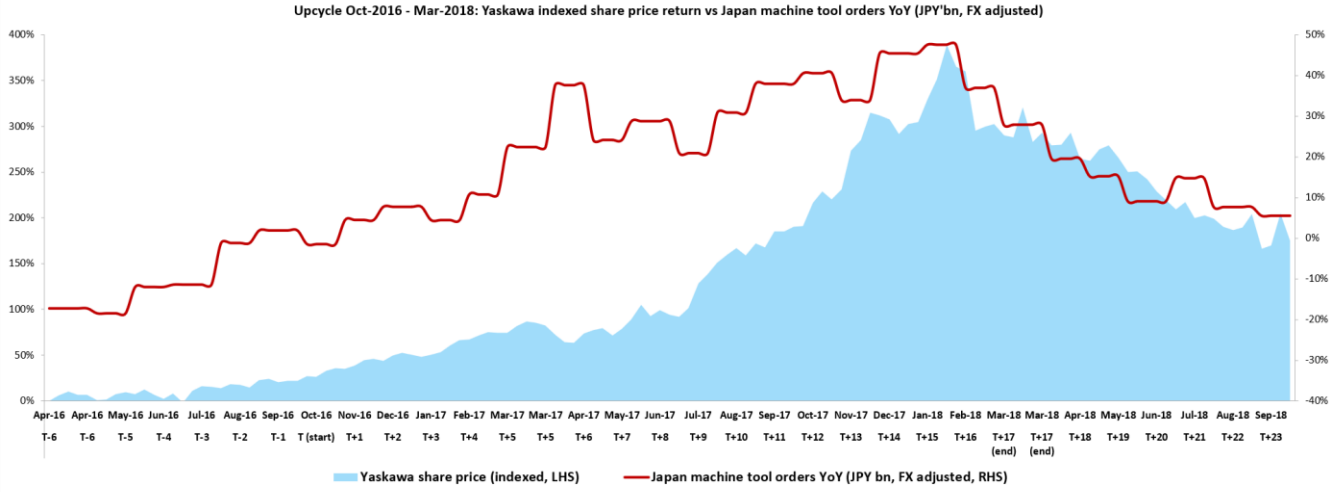
Source: Deutsche Bank Research, JMTBA, Bloomberg Finance LP.

Figure 21: Upcycle 3 (Jan-2013 to Mar-2015): Yaskawa share price peaked at the time when orders peaked, despite slowing YoY growth



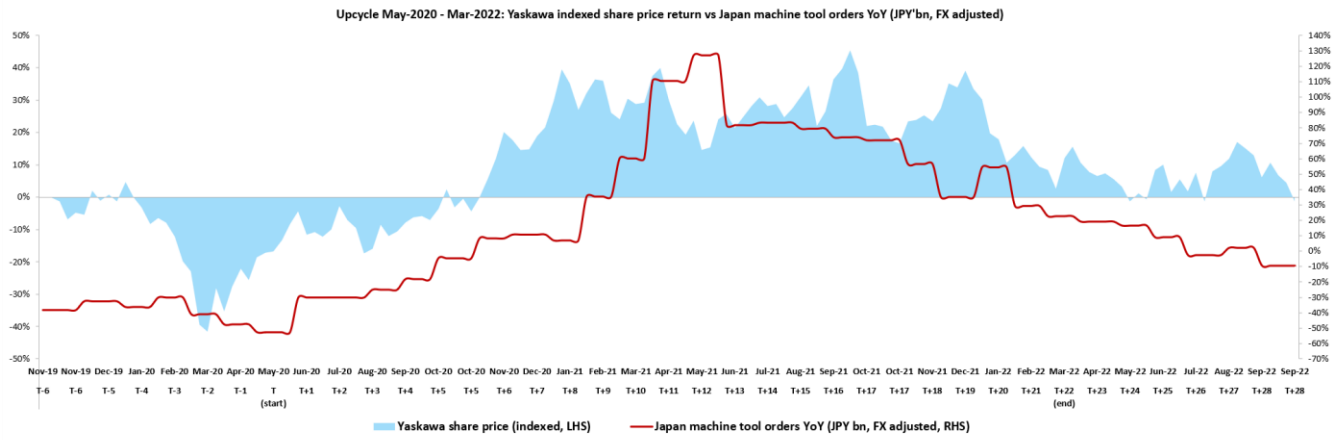
Source: Deutsche Bank Research, JMTBA, Bloomberg Finance LP.

Figure 22: Upcycle 4 (Oct-2016 to Mar-2018): Yaskawa share price peaked when YoY growth peaked and 3M prior to the order peak



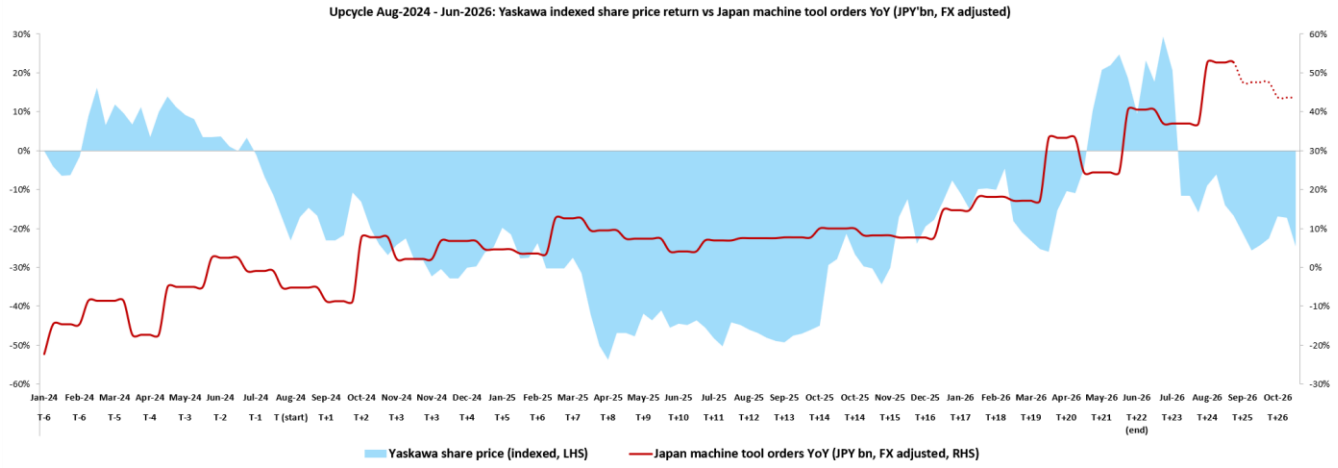
Source: Deutsche Bank Research, JMTBA, Bloomberg Finance LP.

Figure 23: Upcycle 5 (May-2020 to Mar-2022): Yaskawa share price continued to rally despite slowing YoY growth for 5M



Source: Deutsche Bank Research, JMTBA, Bloomberg Finance LP.

Figure 24: Upcycle 6 (Aug-2024 to Jun-2026): Yaskawa share price peaked when YoY growth peaked; the ERP system issue mentioned in July added further pressure



Source: Deutsche Bank Research, JMTBA, Bloomberg Finance LP. Note: We use DB estimates for orders YoY growth for September and October 2026

Link to previous reports:

- **Japan machine tool order update:** September (Preliminary): Momentum broadly sustained – 9 Oct 2026
- **Catalyst road map:** for next 3M – 9 Oct 2026
- **Humanoid Robot Pulse (3Q26 edition):** Model evolution; China humanoid exports; Tesla production ramp-up - 7 Oct 2026
- **Japan machine tool order update:** August 2026 (Detailed): Broad-based growth acceleration – 2 Oct 2026



- **APAC Automation Market:** Where we are in the cycle? A study based on historical patterns – 28 Sep 2026
- **Rise of Humanoid Robots (V):** Takeaways from a Chinese robotic reducer expert and our channel checks (V) - 17 Sep 2026
- **China Automation Market Monthly tracker:** Decent August but growth moderates from 2Q26 peak; 2H26E on a deceleration path – 8 Sep 2026
- **Humanoid Robot**: Mid-year reality check; Ecosystem flywheel spinning – 10 Aug 2026
- **Yaskawa Electric**: Profits missed due to system migration; Underlying momentum solid; Buy – 13 Jul 2026
- **Yaskawa Electric:** Strong orders continuing; Upside to FY guidance; Strong semis; BUY - 13 Apr 2026
- **Expert call**: takeaways on SMC and global automation and semis demand - 13 Mar 2026
- **Humanoid Robot (III):** Six visions for 2026 – Scaling, iterating and diversifying - 6 Mar 2026
- **Yaskawa Electric**: FY3Q strong orders and semis recovery outshine soft profit; BUY - 12 Jan 2026
- **2026 outlook**: More positives than negatives - 25 Nov 2025
- **Yaskawa Electric**: Upgrade to Buy; Fundamentals and sentiment both improving - 23 Nov 2025
- **Annual benchmarking of global peers**: Some hopes and some gaps - 17 Sep 2025
- **China Automation Market Quarterly chartbook**: 2Q25 Growth, market share and outlook - 22 Aug 2025
- **Yaskawa Electric**: Miss and cut in FY1Q; Lowered FY guidance helps to de-risk; Hold -7 Jul 2025
- **Yaskawa Electric**: Where is the floor after share price down by -54% in 12M? Reiterate Hold - 8 May 2025
- **Humanoid Robot (II):** Go big and go home - 14 Feb 2025
- **APAC Industrial Automation Initiation**: Identifying winners amid rising competition from China – 19 Feb 2024

Figure 25: RTN page for Yaskawa Electric

Model updated: 16 October 2026

Running the Numbers

Japan

Japan

Machinery

Yaskawa Electric

Reuters: 6506.T Bloomberg: 6506 JP

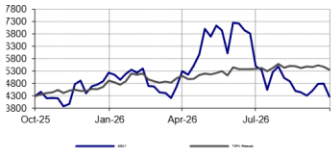
Buy

Price (15 Oct 26)	¥ 4,274
Target price	¥ 6,000
52-week Range	¥ 3,746 – 7,655
Market Cap	¥ 1,115bn
	US$ 7bn

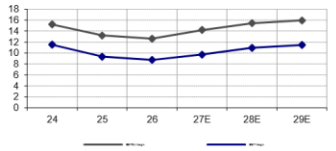
Company Profile

YASKAWA Electric Corporation manufactures motors, controllers, inverters, and industrial robots for factory automation purpose. The Company's products is split into four segments such as motion control, robotics, system engineering, and others.

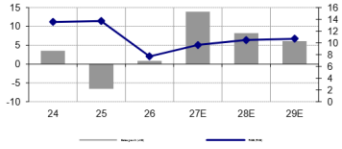
1yr Price Performance



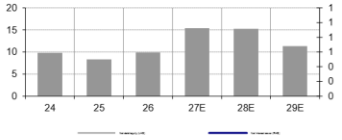
Margin Trends



Growth & Profitability



Solvency



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Fiscal year end 28-Feb	2024	2025	2026	2027E	2028E	2029E
Financial Summary						
DB EPS (¥)	194	218	136	185	215	238
Reported EPS (¥)	194	218	136	185	215	238
DPS (¥)	64	68	68	72	71	79
BVPS (¥)	1,526	1,652	1,862	1,977	2,122	2,323
Weighted average shares (m)	261.7	261.0	259.7	259.7	259.7	259.7
Average market cap (¥bn)	1,495	1,338	984	1,115	1,115	1,115
Enterprise value (¥bn)	1,543	1,383	1,043	1,206	1,211	1,195
Valuation Metrics						
P/E (DB) (x)	29.5	23.5	27.9	23.1	19.9	17.9
P/E (Reported) (x)	29.5	23.5	27.9	23.1	19.9	17.9
P/BV (x)	3.98	2.44	2.96	2.16	2.01	1.84
FCF Yield (%)	1.6	1.5	0.7	nm	1.2	2.3
Dividend Yield (%)	1.1	1.3	1.8	1.7	1.7	1.8
EV/Sales (x)	2.68	2.57	1.92	1.95	1.81	1.69
EV/EBITDA (x)	17.6	19.5	15.2	13.8	11.7	10.6
EV/EBIT (x)	23.3	27.6	22.0	20.1	16.6	14.7
Income Statement (¥bn)						
Sales revenue	576	538	542	618	668	709
Gross profit	209	191	191	220	246	265
EBITDA	88	71	68	88	103	113
Depreciation	21	21	21	28	30	32
Amortisation	0	0	0	0	0	0
EBIT	66	50	47	60	73	81
Net interest income(expense)	0	0	0	0	0	0
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	0	27	0	0	0	0
Other pre-tax income/(expense)	3	2	2	6	4	4
Profit before tax	69	78	50	66	77	85
Income tax expense	17	21	13	17	20	22
Minorities	1	1	1	1	1	1
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	51	57	35	48	56	62
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	51	57	35	48	56	62
Cash Flow (¥bn)						
Cash flow from operations	55	57	52	33	60	72
Net Capex	-31	-37	-45	-46	-47	-46
Free cash flow	24	20	7	-14	13	26
Equity raised/(bought back)	-1	-9	0	0	0	0
Dividends paid	-17	-17	-18	-18	-18	-10
Net inc/(dec) in borrowings	-8	16	13	0	0	0
Other investing/financing cash flows	-1	10	-1	0	0	0
Net cash flow	-2	19	2	-32	-5	16
Change in working capital	*-24*	*8*	*-16*	*-43*	*-26*	*-22*
Balance Sheet (¥bn)						
Cash and other liquid assets	40	59	61	29	25	40
Tangible fixed assets	116	129	164	182	199	213
Goodwill/intangible assets	44	46	54	54	54	54
Associates/investments	0	0	0	0	0	0
Other assets	503	509	533	584	613	639
Total assets	702	744	812	850	892	947
Interest bearing debt	80	96	110	110	110	110
Other liabilities	214	208	209	216	220	224
Total liabilities	294	304	319	326	330	334
Shareholders' equity	399	431	484	513	551	603
Minorities	9	8	10	10	10	10
Total shareholders' equity	408	440	494	524	561	613
Net debt	*40*	*37*	*49*	*81*	*85*	*70*
Key Company Metrics						
Sales growth (%)	3.5	-6.6	0.8	13.9	8.2	6.1
DB EPS growth (%)	-2.1	12.7	-37.9	36.4	16.2	10.7
EBITDA Margin (%)	15.2	13.2	12.6	14.2	15.4	16.0
EBIT Margin (%)	11.5	9.3	8.7	9.7	10.9	11.5
Payout ratio (%)	33.0	31.1	50.1	38.9	33.0	33.0
ROE (%)	13.6	13.7	7.7	9.6	10.5	10.7
Capex/sales (%)	5.3	6.9	8.4	7.5	7.0	6.5
Capex/depreciation (x)	1.4	1.8	2.1	1.7	1.6	1.4
Net debt/equity (%)	9.8	8.3	9.9	15.4	15.2	11.3
Net interest cover (x)	nm	nm	nm	nm	nm	nm

Source: Company data, Deutsche Bank estimates

Source: Deutsche Bank Research



Appendix 1

Important Disclosures

Company	Ticker	Recent price	Disclosure
Yaskawa Electric	6506.T	4,274 (JPY) 15 Oct 26	14, 24

Prices are current as of the end of the previous trading session unless otherwise indicated and are sourced from local exchanges via Reuters, Bloomberg and other vendors. Other information is sourced from Deutsche Bank, subject companies, and other sources.

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Historical recommendations and target price: Yaskawa Electric (6506.T)



1.	19 Feb 24	Price target: 5,528 (JPY), close price 5,439 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
2.	10 Apr 24	Price target: 5,814 (JPY), close price 6,600 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
3.	5 Jul 24	Price target: 5,790 (JPY), close price 5,972 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
4.	8 Oct 24	Price target: 5,107 (JPY), close price 4,723 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
5.	17 Dec 24	Price target: 4,382 (JPY), close price 3,918 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
6.	13 Jan 25	Price target: 4,333 (JPY), close price 4,271 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
7.	8 May 25	Price target: 3,098 (JPY), close price 2,975 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
8.	7 Jul 25	Price target: 3,000 (JPY), close price 2,830.5 (JPY), Recommendation: Hold, Analyst: Iris Zheng, CFA
9.	23 Nov 25	Price target: 4,550 (JPY), close price 3,796 (JPY), Recommendation: Buy, Analyst: Iris Zheng, CFA
10.	12 Jan 26	Price target: 5,500 (JPY), close price 5,026 (JPY), Recommendation: Buy, Analyst: Iris Zheng, CFA
11.	13 Apr 26	Price target: 6,200 (JPY), close price 5,239 (JPY), Recommendation: Buy, Analyst: Iris Zheng, CFA
12.	13 Jul 26	Price target: 6,650 (JPY), close price 5,972 (JPY), Recommendation: Buy, Analyst: Iris Zheng, CFA



Company rating dispersion and banking relationships

DBSI Companies under Coverage	Buy	Hold	Sell
Covered	58%	41%	0%
w/ Banking relationship	43%	34%	0%
w/ MiFID services	63%	52%	67%

Global Companies under Coverage	Buy	Hold	Sell
Covered	58%	40%	2%
w/ Banking relationship	45%	32%	26%
w/ MiFID services	74%	67%	90%

Company Rating and Dispersion Key

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Note - percentages are rounded so may not total 100%.

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Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

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